

HDFC Bank vs IndusInd Bank: reconciled LCR and funding quality, Jun 2025-Jun 2026

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The finding

IndusInd Bank's disclosed LCR has beaten HDFC Bank's in every one of the last five quarters - 126.66% vs 115.00% as of June 2026, and the gap hasn't closed. Read on its own, that ranks IndusInd as the more liquid of the two. Underneath the ratio, IndusInd's funding base looks the other way: 40.9% of it is wholesale funding against HDFC's 33.1%, and of the retail deposits it does hold, 95.3% are classified less-stable under the RBI's own run-off rules, against 77.6% at HDFC. Both gaps have held across all five quarters - this isn't one noisy reading. A bank can post a stronger LCR by holding more HQLA against a thinner, less sticky funding base and still be carrying more funding risk than a bank with a lower ratio and a deeper retail base. That's the case here.

What was reconciled, and how

Both banks' LCR was rebuilt from their own disclosed category-level cash flows - not taken on faith from the printed ratio. Total Cash Outflows (rows 2-7 of the RBI's public template) and Total Cash Inflows (rows 9-11) were summed independently, the 75% inflow cap applied, and the resulting Net Cash Outflows and LCR% checked against each bank's own printed figures. 9 of 10 bank-quarters land within 0.05 percentage points - most at an exact 0.00 gap. Source: each bank's own quarterly Basel III Pillar 3 LCR disclosure PDF, five quarters each (Jun 2025 through Jun 2026), 230 individual disclosure lines in total.

The one that didn't reconcile

HDFC's September 2025 quarter doesn't reconcile. Total Outflows and Total Inflows both match the PDF's printed figures exactly; Net Cash Outflows doesn't follow from them - it's about Rs 41,955 crore lower than the standard formula implies. This is the September 2025 column as it appears *restated* inside HDFC's March 2026 filing, not the originally-filed quarter. I checked the raw extracted table cells directly before accepting this as real rather than a parsing artifact, and it holds. I don't have a confirmed explanation for it - a restatement that updated the outflow and inflow lines without carrying the update through to the net figure, and a rounding or averaging convention that changed between the original Sep-2025 filing and its later reprint, are both consistent with what the PDF shows, and public disclosure alone doesn't let me tell which. It's reported as a break, not folded into the other nine.

One more thing, and it isn't part of the story above

Both banks' LCR fell fairly steadily from June 2025 to March 2026 - HDFC 123.78% to 113.54%, IndusInd 141.28% to 117.99% - then turned back up in June 2026. The June uptick is smaller than it should have been. RBI's retail-deposit run-off factors jumped that one quarter, for both banks, after sitting flat at the standard 5% (stable) / 10% (less-stable) for every one of the prior four quarters in this dataset: stable deposits moved to roughly 7.3% (HDFC) / 7.25% (IndusInd), less-stable to roughly 12.2% / 11.95%. Recomputing June 2026 with the prior 5%/10% factors puts HDFC at 121.65% and IndusInd at 132.63% - 6.65 and 5.97 points higher than what was actually disclosed. The underlying trend reversed upward that quarter; the factor change masked most of it.

I don't have a confirmed source for why the factor moved - neither bank's filing calls it out as a change, and it's specific to the retail-deposit rows; the wholesale and other outflow categories I checked (rows 3ii and 7) show smaller, less synchronized movement over the same five quarters, not a comparable jump. It reads consistent with a regulator tightening the run-off assumption for how fast retail deposits can now move - the global post-2023 discussion around app-based banking and real-time transfers makes that a plausible story - but that's informed speculation, not something this dataset confirms on its own. It also isn't part of the wholesale- funding finding above: HDFC's wholesale share actually rose slightly over the same five quarters while its LCR fell, so the two aren't the same mechanism.

What this doesn't establish

The inflow cap never binds for either bank in any of the 10 quarters here, so the cap logic in this reconstruction is validated on the case where it doesn't matter, not the case where it does. And the RBI's public template gives Total HQLA as one number - there's no Level 1/2A/2B split to check the composition of *what* either bank is holding as HQLA, only how much. Two banks, five quarters, is a comparison of these two funding profiles, not a system-wide read on Indian bank liquidity. Full detail in LIMITATIONS.md.

Sources

- HDFC Bank, Consolidated Liquidity Coverage Ratio disclosures, quarters ended Jun 30 2026 and Mar 31 2026 (the latter carrying Dec-2025, Sep-2025 and Jun-2025 as comparative columns) - [hdfc.bank.in](https://www.hdfc.bank.in)
- IndusInd Bank, Basel III Disclosure - Liquidity Coverage Ratio, quarters ended Jun 30 2026 and Mar 31 2026 (same comparative-column structure) - [indusind.bank.in](https://www.indusind.bank.in)